

BASE METALS ANALYST

Aluminium: Stress-Testing Our Bearish Aluminium Call

- We upgrade our H1 2026 LME aluminium price forecast to \$3,150/t from \$2,575/t, as a balanced global market has bolstered investor confidence that current high prices will not spur a rapid increase in production. We lift our Q4 2026 forecast from \$2,350 to \$2,500, but hold to our 2027 forecast of \$2,400. In this note, we reappraise our aluminium view, following the strong price performance and continued bullish sentiment from investors – which is at odds with our bearish outlook.
- The aluminium price has rallied 24% from \$2,600 in September to a high of \$3,225 on 14 January. Three factors supported the move: 1) Low global aluminium inventories, 2) Doubts emerging on power availability for new smelters in Indonesia, and 3) Firm global demand growth boosted by EVs and grid demand.
- We do not expect the price to remain above \$3,000, and in 2026 we forecast an acceleration in aluminium supply growth to coincide with a slowdown in global demand growth, led by weaker automotive production growth and a contraction in solar module production. This should move the market into surplus.
- Aluminium above \$3,000 reflects scarcity pricing and fully discounts the “China Shock 2.0” that now allows smelters to be built more cheaply and faster. In our view, the longer prices remain this high, the greater the risk we shift to prolonged surplus following an overbuild of smelting capacity. We slightly lower our 2026 market surplus to 0.8Mt from 1.1Mt, hold to a 1.6Mt surplus in 2027 and lift our 2028 surplus from 1.25Mt to 2.3Mt on higher global supply and lower demand from solar and China building.
- We maintain our Dec-2026 short aluminium trade recommendation, our long copper/short aluminium Dec-2027 call, and we add a long SHFE Alumina, short SHFE aluminium trade recommendation, given the alumina price is trading deep into the operating cost-curve, while aluminium is trading well above incentive pricing.

Eoin Dinsmore
+65-6889-2401 |
eoin.dinsmore@gs.com
Goldman Sachs (Singapore) Pte

Aurelia Waltham
+44(20)7051-2547 |
aurelia.waltham@gs.com
Goldman Sachs International

Lavinia Forcellese
+44(20)7774-9243 |
lavinia.forcellese@gs.com
Goldman Sachs International

Daan Struyven
+1(212)357-4172 |
daan.struyven@gs.com
Goldman Sachs & Co. LLC

Samantha Dart
+1(212)357-9428 |
samantha.dart@gs.com
Goldman Sachs & Co. LLC

Aluminium: Stress-Testing Our Bearish Aluminium Call¹

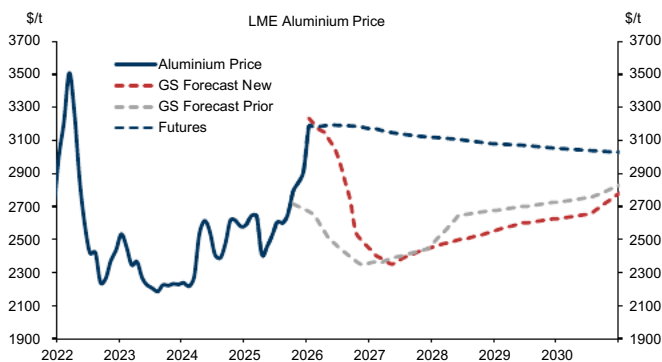
Aluminium is on track to average \$3,130 in January 2026, as confidence builds that current high prices will not spur the rapid supply growth that has ended similar aluminium price rallies over the past twenty years.

January will be the fourth-highest monthly average price ever, but is still shy of the record highs from early 2022 during the European energy crisis, when European smelters curtailed production and risks mounted that Russian aluminium (6% of global supply) would be blocked from global markets. Most of the European smelters have now restarted and Russia's largest export market for aluminium is now China – deficits were avoided and the price subsequently fell by \$1,000 within three months. However, the current price is now nearly equal to the price reached in July 2008, when a weak dollar and expectations of rising Chinese aluminium imports sent the price to new highs – similar to today.

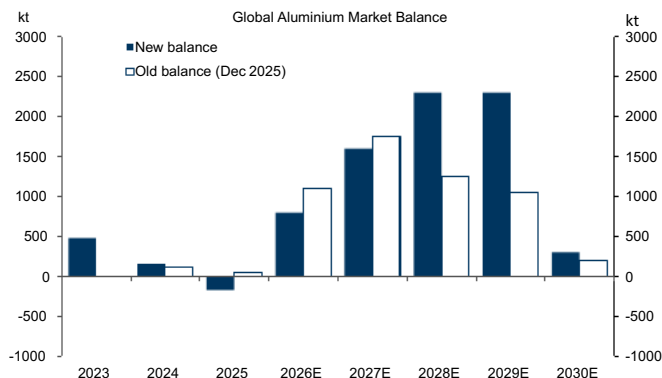
In 2007 and 2008, investors did not believe that China would have the power needed to build sufficient domestic aluminium production and thought that new (and expensive) smelters needed to be built in Iceland, the Middle East and Africa to meet Chinese demand. Instead, China built 80% of all new aluminium smelting capacity from 2007-2025, powered by coal, delivering a global surplus, low prices and forcing high-cost plants to close. This was the first China shock to the aluminium market. China currently has an aluminium capacity cap of 45-46Mt, which it has now reached, as the government sees little to be gained from adding more power-hungry aluminium production. Investors are now of the view that Chinese firms will not be able to build as quickly outside China, constrained mainly by power availability.

We disagree; we already see the global aluminium market entering a surplus (inventories in China are rising ahead of normal seasonality), and expect an acceleration of supply growth in Indonesia, Saudi Arabia, Vietnam, Angola and Kazakhstan to keep global inventories rising over the next three years, pushing the price lower to \$2,500/t in Q4 2026 and an annual average of \$2,400 in 2027 ([Exhibit 1](#)). Investors lack confidence in the expansion plans of the same firms that delivered the first China shock. We think smelters will be developed faster and more cheaply than the market expects, delivering the "China Shock 2.0", and that the price will fall.

¹ The authors would like to thank Ishan Kalia –an intern on our commodities research team– for his extensive contributions.

Exhibit 1: Scarcity Pricing Is Premature and Prices Should Correct Lower

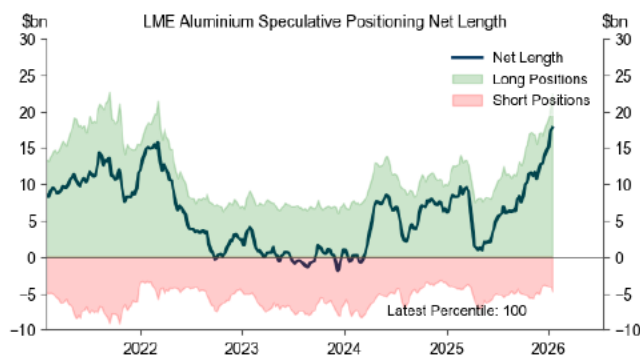
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 2: Surplus To Start In 2026 And Persist Through To 2029

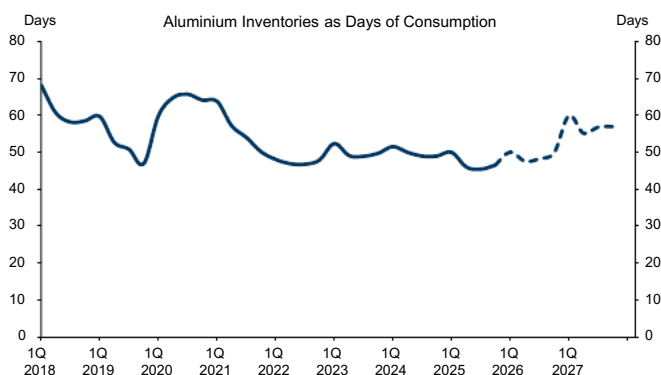
Source: CRU, Wood Mackenzie, SMM, Goldman Sachs Global Investment Research

Investors' inflows² into LME aluminium totaled \$13bn from May 2025 to January 2026 – by far the largest inflow seen since the LME started tracking positioning data in 2014. Across the major LME metals, investors are most bullish aluminium, with positioning at the 100th percentile on a trailing five-year basis ([Exhibit 3](#)). Even bullish copper positioning has been scaled back in recent weeks, as investors took profit after a 30% rally in three months. The reason most often cited for the sustained bullishness towards aluminium is that the current market is tight and supply growth will struggle to match demand growth in 2026. To be clear, the 173kt deficit in 2025 is tighter than our previous forecast of a 50kt surplus – but in a 76Mt global primary aluminium market, we still consider this to be a balanced market. Nonetheless, global inventory cover has dropped from 50 days in 2023 to 49/46 in 2024/25 and in our forecast reaches 56 days in 2027, back to the late-2018 levels ([Exhibit 4](#)). We now factor in a 50% curtailment of the 580kt Mozal smelter in Mozambique for ~18 months, given the power supplier is being proactive and reservoir levels are rising, this should help avoid a full curtailment and allow a restart in a reasonably short period of time, if the curtailment occurs.

² Excluding price changes from existing positions.

Exhibit 3: Investors are the Most Bullish Aluminium They Have Been in the Past Five Years

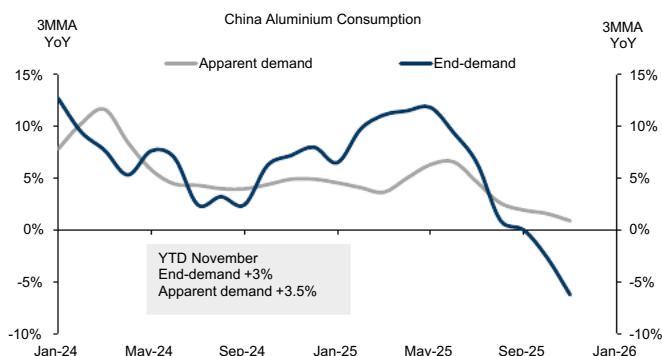
Source: LME, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 4: Inventory Cover Has Been Stable at a Relatively Low Level Since 2022

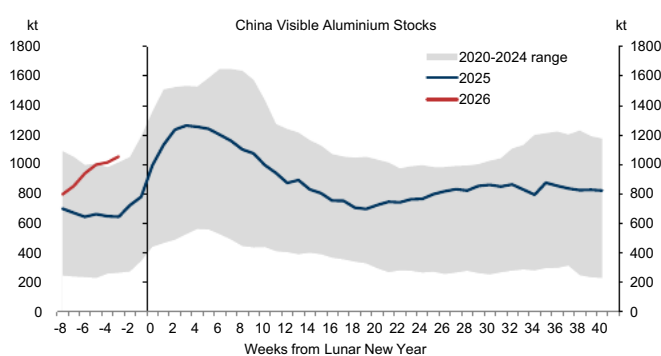
Dashed line is GS forecast

Source: CRU, SMM, WIND, Bloomberg, Goldman Sachs Global Investment Research

The main reason for the tighter global market in 2025 was stronger China demand growth, on higher EV production, and more aluminium-intensive grid and power investment (including battery stationary storage and resilient solar). We had anticipated a major slowing in growth across numerous end-sectors in China as stimulus support faded (solar, EVs and home appliances), but that came slightly later than we had forecast. The higher China import pull for primary aluminium and scrap also boosted premiums in Asia and kept LME stocks flat through Q4 2025. While 2025 China demand growth was stronger than we expected, much of that was a pull-forward of demand from 2026, and we have now lowered our 2026 China EV sales and solar installation forecasts. Indeed, aluminium inventories in China have started to rise prior to the typical post Chinese New Year build (Exhibit 6) and we forecast a 0.7Mt Q1 2026 global surplus compared with a 0.3Mt surplus in Q1 2025. We believe that peak market tightness has now passed, and inventories should start to rise in earnest from mid-February, albeit with some seasonal decline in Q2 2026.

Exhibit 5: China End-Demand Is Contracting and Should be a Headwind to Higher Prices in H1 2026

Source: Bloomberg, WIND, SMM, CRU, Goldman Sachs Global Investment Research

Exhibit 6: China Inventories Will Rise Further After Chinese New Year

Source: SMM, WIND, Goldman Sachs Global Investment Research

Limited Downside Risk to Indonesia Supply Growth in 2026 and 2027

We forecast 725kt/900kt YoY production growth in Indonesia in 2026/27, pushing total

annual Indonesian aluminium output up to 1.55/2.45Mt.

The most transparent development is the 500kt Adaro smelter in Kalimantan, which has a completed 1.1GW coal power plant. That smelter is now ramping up and construction has started at the phase 2 1.1GW coal power plant. The fully-constructed 600kt Juwan (Weda Bay) smelter has partially started up and will ramp up gradually through 2026, and the under-construction 300kt Taijing (Morowali) should start up in H2 – both are joint ventures between private companies Xinfu and Tsingshan. We understand that power has been secured from the 4.5/5.4GW Weda Bay Industrial Park/Morowali Industrial Park power plants to ramp up these phase 1 smelting investments at Juwan/Taijing. Combined, these expansions add 725/700kt out of 725/900kt 2026/2027 production growth, and we deem the downside risks to these volumes to be low.

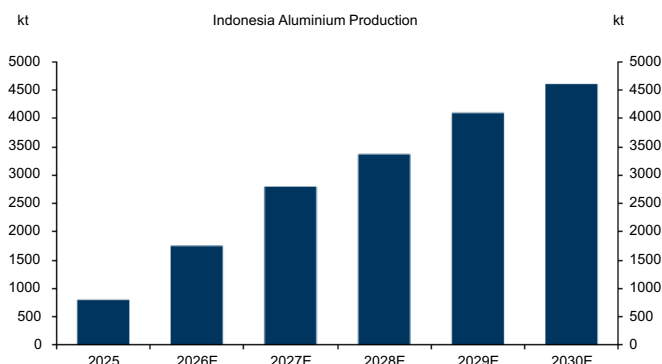
In 2027/28, we also include first production (50/300kt) from the phase 2, 500kt Adaro smelter. Given the required power plant started construction in December 2025, and brownfield power expansions have taken 12-18 months, we view our base case start date for the project as conservative. We also include production (50/250kt in 2027/28) from Nanshan's 250kt smelter in Bintan, which was announced in January. No power supply details have been released, but we assume the power will be supplied from the 2.25GW Gallant power plant in Batam, which started construction in H2 2025. We categorise these two plants as low-risk, as the companies have announced the investments and we can identify power supply that is under construction.

Lastly, we add 100/200kt of production growth in 2027/28 from a 600kt phase 2 expansion at Juwan (Weda Bay), which is already under construction. For this project, we understand that power may not yet be secured and there are no additional power-generating units under construction or planned at Weda Bay.

In 2028/29 we forecast 850/800kt production growth in Indonesia, bringing total annual Indonesian aluminium output up to 3.3/4.1Mt. Of this growth, 450/450kt comes from phase 2 expansions at Adaro (Kalimantan) and Nanshan (Bintan), which we deem to be low-risk. We have 200/150kt from the 600kt phase 6 expansion at Juwan (Weda Bay) and 200/200kt from the 450kt Taijing (Morowali) phase 2. We can identify 945MW of spare power generating capacity at Petasia, Morowali, and we will continue to monitor the area for any smelter construction activity – as development may be shifted to this area. Overall, the uncertainty around power supply rises for aluminium production growth from 2028 onwards, as shown in [Exhibit 8](#).

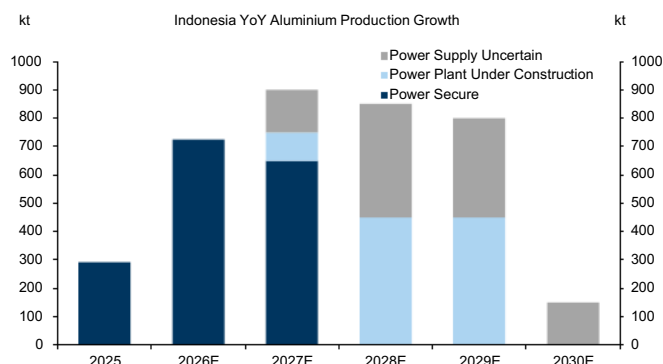
To summarise, of the 4.25Mt of total Indonesian aluminium output we forecast by 2030, 2.2Mt already has secure power supply, power plants for a further 1Mt are under construction, and power supply is uncertain for 1.05Mt. There may be spare power for the 1.05Mt from the installed base, particularly given that ~9GW of captive coal is dedicated to the nickel industry, and we forecast Indonesian nickel production will drop by ~5% YoY in 2026, with an uncertain future production profile.

Exhibit 7: We Forecast Aluminium Production in Indonesia Will Increase By 725kt/900kt YoY in 2026/2027



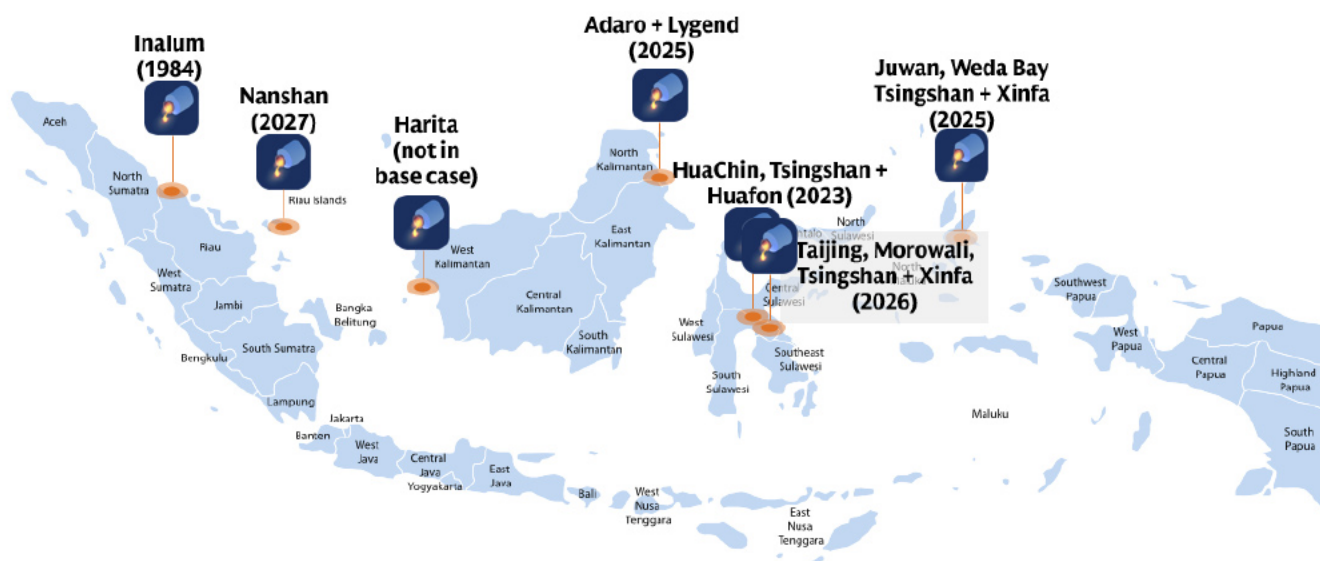
Source: CRU, Wood Mackenzie, SMM, Copernicus Sentinel Data 2026, Goldman Sachs Global Investment Research

Exhibit 8: Uncertainty on Power Supply to Support Indonesia Aluminium Production Rises From 2028



Source: Global Coal Plant Tracker, Global Energy Monitor, Goldman Sachs Global Investment Research

Exhibit 9: Planned Aluminium Smelting Capacity in Indonesia



Company filings, Goldman Sachs Global Investment Research

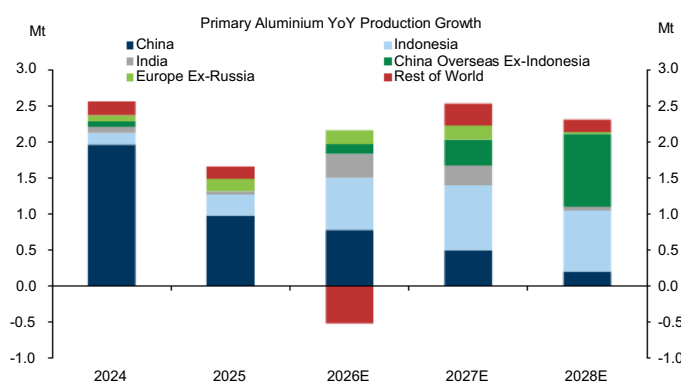
The Next Wave of Smelting Investments are Already Progressing Outside Indonesia

From 2028 onwards, we have more supply growth coming from outside Indonesia, developed by Chinese firms. The first large investment is the 0.5Mt Shandong Innovation smelter in Saudi Arabia to start up in H2 2027, where a power deal has been agreed. We have a ramping-up of Chinese built smelters in Angola and Vietnam, both grid powered and first output from Xinfa and East Hope in Kazakhstan in 2028 (very conservatively we have included two 250kt smelters by 2030 versus plans for multi-million tonne expansions). Kazakhstan is where we see the greatest upside risk to our forecast, but the new coal plants need to be built to support aluminium investments. That said, a coal-boom looks set to unfold in Kazakhstan: Kazakh President Kassym-Jomart Tokayev has asked the government to designate the development of coal power as a national

project and cited some inspiration from President Trump. According to [Interfax](#), President Tokayev said that coal was a strategic asset that should be fully utilized with advanced technology to mitigate environmental harm, and that “*President Trump is right when he said, ‘I like coal, I don’t like wind.’ There is ... a rational kernel in that.*”

We also include 150kt of production in 2030 from the 750kt EGA/Century Aluminum Inola, Oklahoma smelter, which is expected to begin operations by the end of the decade. As previously noted, we have included a partial curtailment at the 580kt Mozal smelter in Mozambique. We have also increased our China primary aluminium production forecast, now reaching 46.2Mt by 2029 compared with our previous forecast that production would peak at 45Mt, following legal capacity additions and some gains from more efficient replacement capacity.

Exhibit 10: After Indonesia comes Saudi Arabia, Kazakhstan and Africa



Source: CRU, Wood Mackenzie, SMM, Company filings, Goldman Sachs Global Investment Research

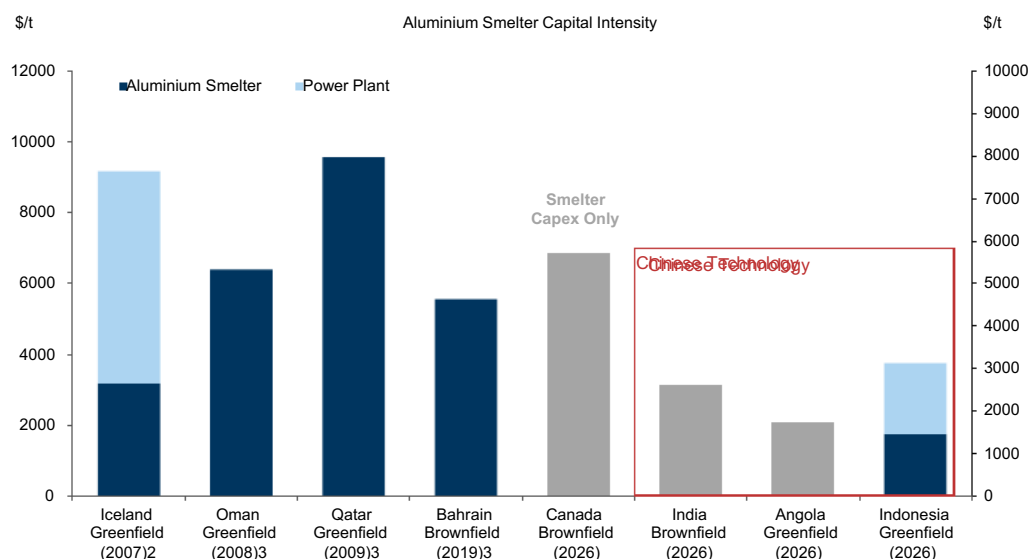
The China Shock 2.0

The first China shock came when China added 38Mt of aluminium smelting capacity (80% of global capacity growth from 2007–2025), which depressed industry profitability from 2010–2019. By adding so much capacity, Chinese engineering and design firms found efficiencies in standardised design, and scaling back what needs to be built by breaking out supply chains such as carbon anode production to third party suppliers. They also drove down component costs, lowering margins and unit cost in sectors that supplied equipment to aluminium smelters. Building faster was also a key innovation that lowered development costs.

The lasting innovation that has come from China’s aluminium sector is that producers can build aluminium smelters half as cheaply as they could twenty years ago ([Exhibit 11](#)) and can build full power to metal production facilities around 40% faster [Exhibit 12](#). However, China cannot replicate its industrial model everywhere, and for instance the time to build in India is longer. Furthermore, labour restrictions in certain countries would make it impossible for Chinese engineers to oversee the project development.

But the lasting impact of the China shock is that the supply response the LME price is calling for, via high prices, will come faster and be cheaper than twenty years ago, by taking place in countries such as Indonesia, Kazakhstan, Angola and Vietnam, where China can export its industrial model with less friction.

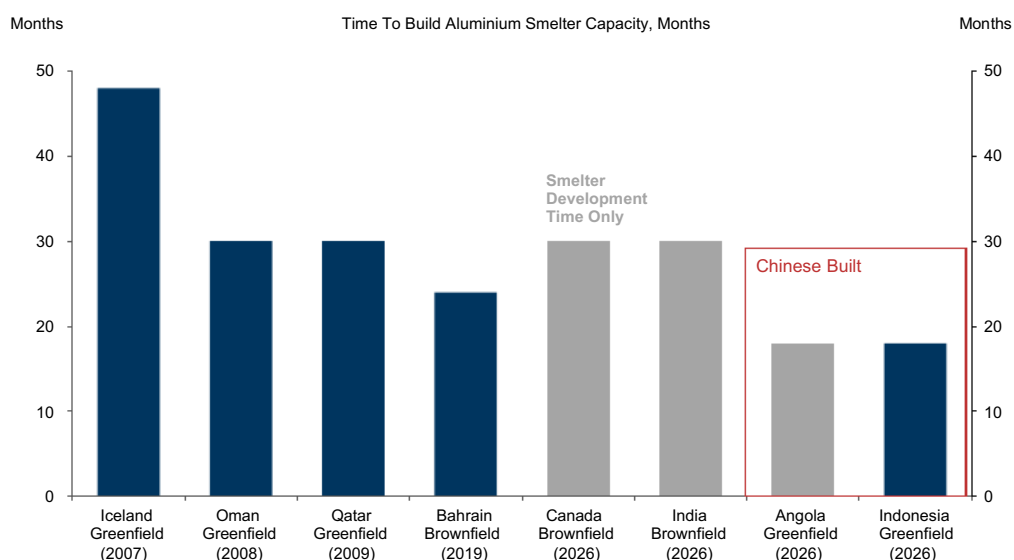
Exhibit 11: The Cost to Build an Aluminium Smelter Outside China Has More Than Halved* Over the Past 20 Years



*We take the total cost for an aluminium smelter in Indonesia including coal power capex, compared to the average of the 2004, 2007 and 2009 smelter investments included above. 2) Iceland Greenfield takes the initial capex estimate from Alcoa, but we note the final capex for the associated Kárahnjúkar hydropower plant, built by Landsvirkjun, was substantially above the initial capex estimate. 3) Capital intensity estimates for smelters in Oman, Qatar and Bahrain include gas-power plants.

Source: Company filings, Goldman Sachs Global Investment Research

Exhibit 12: Chinese Firms Can Build Aluminium Smelters and the Required Power Plants in South East Asia Within 18 Months, Compared with a More Standard 30 Months for Western Firms



Source: Company filings, Copernicus Sentinel data, Goldman Sachs Global Investment Research

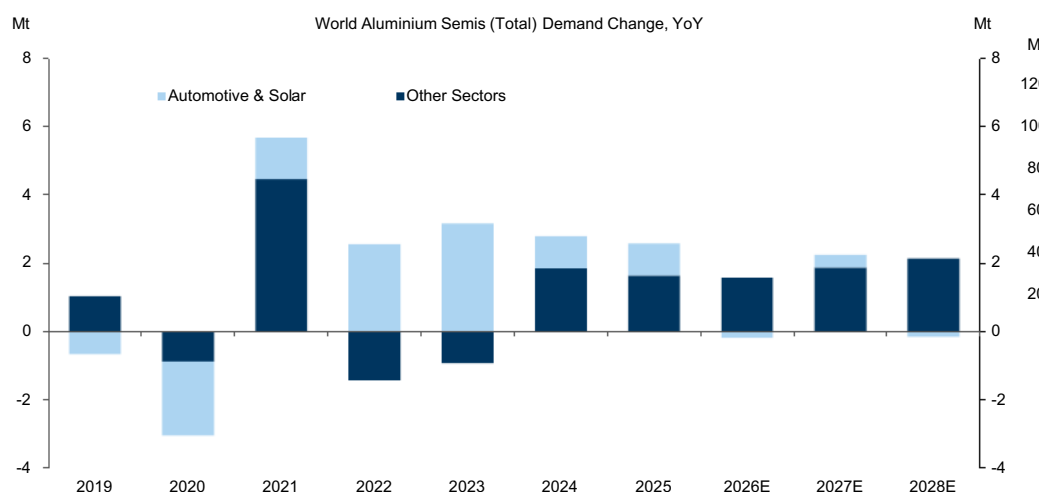
Because Chinese-led investments in Indonesia and elsewhere are likely to progress at a faster pace than previously anticipated, we have increased the size of our forecast surpluses for 2028/2029 to 2.3Mt/2.3Mt (vs. 1.2Mt/1.1Mt previously). To reflect this,

lower prices will be required in order to slow investments and rebalance the market. We have therefore revised lower our LME aluminium prices forecasts out to the end of the decade, now expecting a price of \$2,650/t in 2030 (vs. \$2,750/t previously), but hold to our price forecast beyond 2030.

In 2026 Demand Micro Headwinds Should Dampen the Macro Boost

Aluminium prices have benefited in recent months from strong investor flows into risk assets more broadly, with risk appetite across markets now very elevated, and a bullish macro setup including further US Fed rate cuts and sturdy global GDP growth. Beyond the cyclical demand uplift, we remain extremely bullish on grid and power infrastructure demand, and forecast 7% YoY³ growth in grid and power infrastructure demand in 2026, including 25% YoY growth in demand from stationary storage to 1.2Mt. However, when we look to sectors that have played the most significant roles in driving aluminium demand growth over the past decade, namely solar and automotive which drove 30%/22% respectively of global demand growth from 2018-2025, the outlook is not so bright.

Exhibit 13: Automotive And Solar Contribution to Aluminium Demand Growth Stalls



Source: CRU, Wood Mackenzie, SMM, S&P Global Market Intelligence, Goldman Sachs Global Investment Research

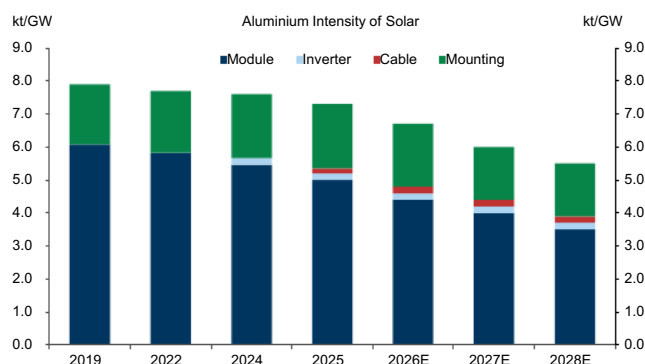
First, we expect global demand from solar to contract in both 2026 and 2027, driven by a decline in Chinese production, and only pick up modestly thereafter, with demand not returning to the 2025 high this decade. As well as a decline in installations following policy changes last year, the aluminium intensity of solar has already fallen from 8.3t/MW in 2015 to an estimated 7.3t/MW in 2025, and we expect it to reach 5.1t/MW by the end of the decade. This comes as cells become more efficient (Exhibit 14) and the same size module (and aluminium frame) is able to produce more energy. In other words, this reflects technological progress, rather than lightweighting or substitution.

Meanwhile, although the global shift from ICE to (relatively) aluminium-intensive EV

³ Excluding stationary storage demand, we forecast grid and power infrastructure demand will grow by 5.7% YoY in 2026, an acceleration from 5.1% growth in 2025. We estimate data center aluminium usage separately, and based on our bottom-up analysis we assume there is 3.7kt of aluminium per GW of data center IT capacity.

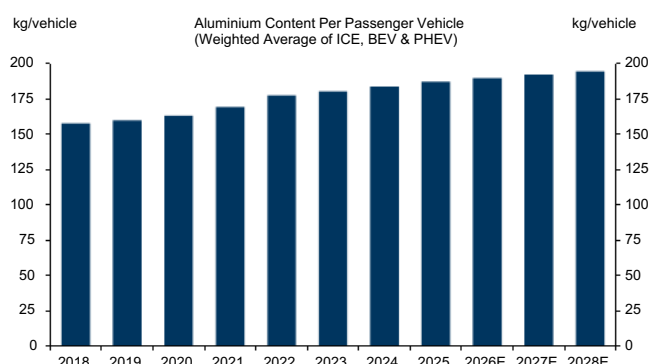
production continues to boost aluminium demand from the automotive sector⁴, which we expect to account for ~15% of total aluminium demand growth out to 2030, the shift to EV production has not been as beneficial for aluminium demand growth as the market previously expected. First, EV production expectations have been revised down in recent years due to a combination of consumer sentiment and policy changes in both the US and EU. Second, China continues to take a growing share of the global EV market, with vehicle exports forecast to rise again in 2026. This is important because Chinese-produced EVs are generally lighter and smaller than those produced in Europe and the US, reducing the boost to aluminium demand.

Exhibit 14: Aluminium Intensity In Solar Is Dropping As Cells Become More Efficient



Source: Company filings, Goldman Sachs Global Investment Research

Exhibit 15: Aluminium Intensity in Automotive Continues To Increase But Gains Are Slowing



BEV: full battery electric vehicle, PHEV: plug-in hybrid electric vehicle, ICE: internal combustion engine

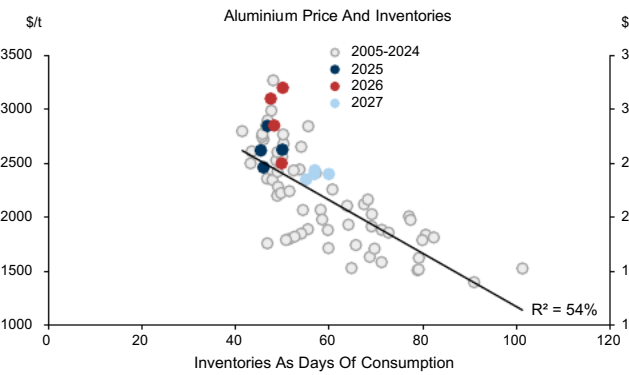
Source: European Aluminium, Aluminum Association, S&P Global Market Intelligence, Company filings, Goldman Sachs Global Investment Research

Inventory is Low But Scarcity Pricing is Overdone

We believe that the current aluminium price contains a significant scarcity premium as investors expect that production will not rise by enough over the coming years in order to meet demand. While inventory cover is relatively low right now, at ~50 days, the current aluminium price and smelter margins are well above the fundamental fair value price of ~\$2,500/t (Exhibit 16, Exhibit 17), meaning that even if our forecast 2026 surplus was delayed until next year (for example, if Indonesian production ramps up slower than expected), we would still expect the aluminium price to fall from current levels. Our Q4 2026 price forecast of \$2,500 brings prices and margins back in line with market fundamentals – and remains in line with our estimate of incentive pricing, reflecting a market that needs to add capacity.

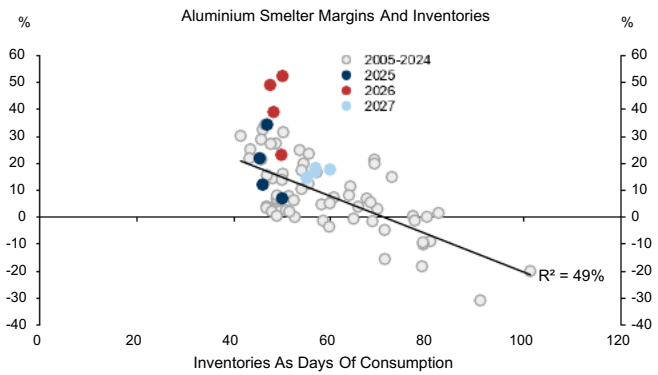
⁴ We have re-estimated our aluminium intensity of use in automotive both in the forecast and the historical data, which has changed our historic end-use split of aluminium demand, but we have kept our global estimate of total global demand nearly unchanged.

Exhibit 16: Given Low Inventory Cover, A Price Spike Can Be Justified



Source: CRU, Wood Mackenzie, SMM, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 17: But Given Low Alumina And Coal Prices, Current Margins For High-Cost Smelters Are At Record Highs



Source: CRU, Wood Mackenzie, SMM, Bloomberg, Goldman Sachs Global Investment Research

Because aluminium smelting margins are on track to achieve record profitability in H1 2026, and because we expect aluminium prices to decline over the next 12 months, we open a trade recommendation for short SHFE aluminium and long SHFE alumina. We see very limited downside to the alumina price, which is currently trading around the 50th percentile of the global cost curve, according to Alcoa, and there remains a risk of more forceful supply-side reform for alumina in China. For aluminium, we think the investor-driven scarcity premium will drop as the market shifts into surplus.

Appendix

Exhibit 18: Indonesia Aluminium Smelting Capacity and Power Status

Indonesia Aluminium Smelting Capacity and Power Status										
Smelter	Start-up Date	Aluminium Smelting Capacity, ktpy	Location	Power Type	Risk Assessment	Power Required MW	Completed, MW	Under Construction MW	Uncertain power source	Details
Inalum	Operational	300	Sumatra	Captive Hydro		670	670			Partohan Hydro Power Plant
Tsingshan & Huafo (HuaChin)	Operational	500	Morowali	Captive Coal		1,120	1,120			Supplied by 5.4 GW Sulawesi Labota & Sulawesi Mining Power Plants
Adaro & Lygend	Operational	500	Kalimantan	Captive Coal		1,120	1,120			Dedicated Alam Tri Plant Phase 1
Juwan, Tsingshan & Xinfa Weda Bay Phase 1	Operational	280	Weda Bay	Captive Coal		630	630			Supplied by 4.5 GW Power Plant owned by Weda Bay Industrial Park
Juwan, Tsingshan & Xinfa Weda Bay Phase 2	H1 2026	320	Weda Bay	Captive Coal	Low risk	720	720			Supplied by 4.5 GW Power Plant owned by Weda Bay Industrial Park
Juwan, Tsingshan & Xinfa Weda Bay Phase 3	Late H2 2027	600	Weda Bay	Captive Coal	Medium risk	1,340			1,340	Unknown - May Require Additional Power Capacity
Taijing, Tsingshan & Xinfa Morowali Phase 1	H2 2026	300	Morowali	Captive Coal	Low risk	670	670			Supplied by 5.4 GW Sulawesi Labota & Sulawesi Mining Power Plants
Taijing, Tsingshan & Xinfa Morowali Phase 2	H2 2027	450	Morowali	Captive Coal	Medium risk	1,010			1,010	Unknown - May Require Additional Power Capacity
Nanshan Phase 1	H2 2027	250	Bintan	Captive Coal	Low risk	560		560		Nanshan Cancelled a 2.7GW Coal Plant, Power Is Likely To Be Sourced Power From The 2.25GW Gallant Venture Power Plant (Under Construction)
Nanshan Phase 2	H2 2028	250	Bintan	Captive Coal	Low risk	560		560		As Above, Phase 2 Expansion
Adaro & Lygend Phase 2	H2 2027	500	Kalimantan	Captive Coal	Low risk	1,120		1,120		Dedicated Alam Tri Coal Plant Phase 2 (Under Construction)
Total		4,250				9,520	4,930	2,240	2,350	
Total GS Production Forecast By 2030 of which has identifiable power supply		4,250 3,200								

Allocation of power plant supply to smelters is a GSe. Juwan phase 2 is also referred to as Xianfeng.

Source: Global Coal Plant Tracker, Global Energy Monitor, CRU, SMM, Wood Mackenzie, Goldman Sachs Global Investment Research

Exhibit 19: Our Aluminium Price Forecast Sits Below Futures

GS Forecast (\$/mt)			LME Aluminium Futures
	LME Aluminium New	LME Aluminium Prior	
2026	2,900	2,500	3,186
2027	2,400	2,400	3,142
2028	2,500	2,650	3,101
1Q26	3,200	2,650	3,182
2Q26	3,100	2,500	3,191
3Q26	2,850	2,420	3,189
4Q26	2,500	2,350	3,181
1Q27	2,400	2,350	3,166
2Q27	2,350	2,385	3,147
3Q27	2,400	2,410	3,134
4Q27	2,435	2,435	3,123
Jan-26	3,235	2,670	3,185
Feb-26	3,200	2,650	3,178
Mar-26	3,165	2,600	3,183
Apr-26	3,150	2,550	3,188
May-26	3,100	2,500	3,192
Jun-26	3,050	2,475	3,192
Jul-26	2,965	2,445	3,190
Aug-26	2,850	2,420	3,189
Sep-26	2,735	2,395	3,188
Oct-26	2,550	2,370	3,185
Nov-26	2,500	2,350	3,183
Dec-26	2,465	2,350	3,175

Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 20: We Expect the Global Aluminium Market Surplus to Expand to 1.6Mt by 2027 as New Indonesian Supply Ramps Up

World Aluminium Market Balance

'000 tonnes	2023	2024	2025	2026	2027	2028	2029	2030
Market balance								
Primary Production	70,689	73,247	74,907	76,551	79,082	81,391	83,388	83,606
Primary Consumption	70,210	73,091	75,080	75,752	77,482	79,091	81,088	83,306
Market balance	479	156	-173	800	1600	2300	2300	300
Total Inventories	9,559	9,715	9,543	10,342	11,942	14,242	16,542	16,841
As days of consumption	50	49	46	50	56	66	74	74
Reported Inventories	3,671	3,796	3,662	4,462	5,962	8,062	10,162	10,512
y/y change	264	125	-134	800	1500	2100	2100	350
Production								
Primary Production	70,689	73,247	74,907	76,551	79,082	81,391	83,388	83,606
y/y change	2.7%	3.6%	2.3%	2.2%	3.3%	2.9%	2.5%	0.3%
China	41,584	43,547	44,523	45,300	45,800	46,000	46,200	46,200
World Ex-China	29,105	29,700	30,384	31,251	33,282	35,391	37,188	37,406
Consumption								
Total Aluminium Consumption	98,149	100,940	103,360	104,748	107,206	109,420	112,109	115,149
y/y change	2.3%	2.8%	2.4%	1.3%	2.3%	2.1%	2.5%	2.7%
of which								
Grid & Power Infrastructure	11,479	12,490	13,459	14,402	15,313	16,263	17,214	18,203
EVs & Renewables	7,671	9,240	10,604	10,935	11,710	12,238	13,573	15,169
Electrification share of demand	20%	22%	23%	24%	25%	26%	27%	29%
China building	10,038	9,435	8,053	7,131	6,696	6,303	6,114	5,931
Rest of World	68,962	69,774	71,243	72,279	73,487	74,616	75,207	75,846
Primary Aluminium Consumption	70,210	73,091	75,080	75,752	77,482	79,091	81,088	83,306
y/y change	1.4%	4.1%	2.7%	0.9%	2.3%	2.1%	2.5%	2.7%
China	42,888	45,471	46,783	47,103	48,287	49,491	51,078	52,701
World Ex-China	27,322	27,620	28,297	28,649	29,196	29,599	30,010	30,605
Total Scrap Consumption	29,902	29,868	30,347	31,091	31,867	32,518	33,263	34,146
y/y change	4.5%	-0.1%	1.6%	2.5%	2.5%	2.0%	2.3%	2.7%
Scrap share of Consumption	30%	29%	29%	29%	29%	29%	29%	29%
Aluminium price forecast, \$/t	2,285	2,457	2,640	2,900	2,400	2,500	2,600	2,650
Regional Aluminium Market Balance								
<i>Before Primary Aluminium Net Trade</i>								
China	(1,304)	(1,924)	(2,260)	(1,802)	(2,486)	(3,492)	(4,878)	(6,502)
World Ex-China	1,783	2,080	2,087	2,602	4,086	5,791	7,178	6,801
China Primary Aluminium Net Imports	1,458	2,097	2,479	2,000	2,800	3,700	4,950	6,400
<i>After Primary Aluminium Net Trade</i>								
China	154	173	219	198	314	208	72	(102)
World Ex-China	325	(17)	(392)	602	1,286	2,091	2,228	401

Source: CRU, Wood Mackenzie, SMM, Bloomberg, Goldman Sachs Global Investment Research